

STATE OF NEW YORK

6932--A

2025-2026 Regular Sessions

IN ASSEMBLY

March 18, 2025

Introduced by M. of A. FITZPATRICK -- Multi-Sponsored by -- M. of A. BLANKENBUSH, DiPIETRO, FRIEND, HAWLEY, TAGUE -- read once and referred to the Committee on Governmental Employees -- recommitted to the Committee on Governmental Employees in accordance with Assembly Rule 3, sec. 2 -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the retirement and social security law, in relation to establishing a defined contribution program for which elected officials are deemed mandatory members

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

Section 1. The retirement and social security law is amended by adding a new article 22-A to read as follows:

ARTICLE 22-A

DEFINED CONTRIBUTION PROGRAM

Section 1250. Definitions.

1251. Defined contribution programs established.

1252. Rates of contribution.

1253. Enrollment.

1254. Death benefit.

1255. Inconsistent provisions of other acts superseded.

§ 1250. Definitions. Wherever used in this article the following terms shall have the following meanings:

a. The term "public retirement system of the state" shall mean the New York state and local employees' retirement system, the New York state teachers' retirement system, the New York state and local police and fire retirement system, the New York city employees' retirement system, the New York city teachers' retirement system, the New York city board of education retirement system, the New York city police pension fund, and the New York city fire pension fund.

EXPLANATION--Matter in italics (underscored) is new; matter in brackets [-] is old law to be omitted.

LBD08996-03-6

1 b. The terms "optional member" and "optional members" mean those
2 employees who are members of a public retirement system of the state who
3 first became members of such systems on or after April first, two thou-
4 sand twenty-six and make an election to join the defined contribution
5 program established pursuant to this article pursuant to the provisions
6 of section twelve hundred fifty-three of this article.

7 c. The terms "mandatory member" and "mandatory members" mean those
8 elected officials who are members of a public retirement system of the
9 state who first became members of such systems on or after April first,
10 two thousand twenty-six pursuant to the provisions of section twelve
11 hundred fifty-three of this article.

12 d. The terms "program participant" and "program participants" mean
13 those employees electing to participate in the defined contribution
14 program.

15 e. The term "defined contribution program" means the retirement
16 program established pursuant to this article.

17 f. The term "wages" shall mean regular compensation earned by and paid
18 to a member by a public employer, except that the following items shall
19 not be included in the definition of wages: (i) overtime compensation
20 paid under any law or policy under which employees are paid at a rate
21 greater than their standard rate for additional hours beyond that
22 required, including section one hundred thirty-four of the civil service
23 law and section ninety of the general municipal law, (ii) wages in
24 excess of the annual salary paid to the governor pursuant to section
25 three of article four of the state constitution, (iii) lump sum payments
26 for deferred compensation, sick leave, accumulated vacation or other
27 credits for time not worked, (iv) any form of termination pay, and (v)
28 any additional compensation paid in anticipation of retirement.

29 § 1251. Defined contribution programs established. There is hereby
30 established a defined contribution program within each public retirement
31 system of the state which shall provide for retirement benefits for or
32 on behalf of program participants. Under such program the state, the
33 city of New York and other participating employers and such employees
34 shall contribute, to the extent authorized or required, to such defined
35 contribution accounts. The programs shall be administered by the retire-
36 ment system in which the program participant is a member. Each public
37 retirement system of the state is authorized to promulgate all such
38 rules and regulations as may be necessary or required to implement the
39 defined contribution programs established pursuant to this article,
40 including such rules and regulations as may be necessary to comply with
41 the applicable provisions of title twenty-six of the United States Code
42 relating to defined contribution plans and their qualification and oper-
43 ation and all such rules and regulations as may be necessary or required
44 regarding the collection of employer and member contributions, invest-
45 ment of contributions, withdrawals and distribution of member accounts,
46 nomination of beneficiaries, the assessment and collection from employ-
47 ers of costs and expenses incurred in the establishment and operation of
48 the plan, and all other matters pertaining thereto. Each public retire-
49 ment system of the state is authorized to enter into such agreements
50 with qualified providers as may be necessary or desirable for the
51 investment of member accounts and the general administration of the
52 plan.

53 § 1252. Rates of contribution. a. 1. The employer shall make a
54 contribution equal to four percent of each program participant's wages.
55 Such contributions shall be known as "basic employer contributions".

2. The employer shall contribute an amount equal to the contribution made by each program participant, provided however, that such additional contributions shall not exceed three percent of each program participant's wages. Such contributions shall be known as "matching employer contributions".

b. In the case of any program participants, employees shall be allowed to contribute an amount up to the maximum allowable amount, inclusive of basic and matching employer contributions, permitted by federal law in 26 U.S.C. 401 et seq. and the rules and regulations of the United States department of the treasury promulgated thereunder.

c. No contributions pursuant to subdivision a of this section shall be made by the employer until the program participant completes one year of service and continues in service thereafter. At the end of a program participant's initial year of service, a single contribution in an amount determined pursuant to subdivision a of this section, with interest at the rate of four per centum per annum, shall be made by the employer, on behalf of such program participant continued in service.

§ 1253. Enrollment. a. Employees who first become members of a public retirement system of the state on or after April first, two thousand twenty-six, within thirty days of their entry into service, shall have the ability to elect the defined contribution program established pursuant to this article. Such election shall be in writing, shall be duly executed and filed with the retirement system of which they are a member and shall be irrevocable as long as such person is a member of a public retirement system of the state. All eligible employees who elect the defined contribution program shall not accrue credited service for any purpose under any other article of this chapter or any other applicable law.

b. All program participants enrolled in the defined contribution program shall not accrue credited service to be used for any purpose under any other article of this chapter or any other applicable law.

c. Any elected official or elected officials who first become members of a public retirement system of the state on or after April first, two thousand twenty-six, shall be a mandatory member or mandatory members, required to participate in the defined contribution program established pursuant to this article. For all such elected officials the defined contribution program shall not accrue credited service for any purpose under any other article of this chapter or any other applicable law.

§ 1254. Death benefit. a. Program participants shall receive the following financial protection in the event of death in service: a benefit upon the death of a member in service equal to the member's salary upon their completion of one year of service, two years' salary upon completion of two years of service, and three years' salary upon completion of three years of service.

b. For the purposes of this section:

1. the death benefit payable shall be in lieu of the payment of the basic employer contributions and matching employer contributions made pursuant to this article, but shall not be less than the value of such contributions and

2. the value of the employee contributions shall be payable in addition to the death benefit payable pursuant to this section.

§ 1255. Inconsistent provisions of other acts superseded. Insofar as the provisions of this article are inconsistent with the provisions of any other act, general or special, the provisions of this article shall be controlling.

1 § 2. This act shall take effect April 1, 2026; provided, however, if
2 this act shall become a law after such date it shall take effect imme-
3 diately and shall be deemed to have been in full force and effect on and
4 after April 1, 2026.

FISCAL NOTE.--Pursuant to Legislative Law, Section 50:

This bill would provide new members of any public retirement system in New York with the option of enrolling in a defined contribution (DC) plan. Enrollment would be mandatory for elected officials and optional for other members beginning on or after April 1, 2026.

Insofar as this bill affects the New York State and Local Retirement System, the annual employer contribution rate for the DC plan would be approximately 7.8 percent of payroll.

The administrative expense to establish the DC plan is estimated at \$5 to \$10 million, with additional costs incurred by participating employers to modify payroll and reporting systems. Enrollees are expected to incur management and investment expenses averaging 0.5 percent of their account balance annually.

Significant design features of the DC plan include: (1) mandatory employer contributions of 4 percent of wages, (2) a death benefit equal to the accumulated value of member contributions plus the larger of accumulated employer contributions or three times salary, (3) no disability benefit, and (4) irrevocable membership.

Summary of relevant resources:

Membership data as of March 31, 2025 was used to measure the impact of the bill, the same data used in the Actuarial Valuations dated April 1, 2025. Distributions and other statistics can be found in the 2025 Report of the Actuary and the 2025 Annual Comprehensive Financial Report. The actuarial assumptions and methods used are described in the 2025 Annual Report to the Comptroller on Actuarial Assumptions, and the Codes, Rules and Regulations of the State of New York: Audit and Control. The fair value of assets and GASB Disclosures can be found in the 2025 Financial Statements and Supplementary Information.

Assumptions, demographics, and other considerations may have been modified to better reflect specific provisions of any proposed benefit change(s).

This fiscal note does not constitute a legal opinion on the viability of the bill, nor is it intended to serve as a substitute for the professional judgment of an attorney.

This estimate, dated January 9, 2026, and intended for use only during the 2026 Legislative Session, is Fiscal Note No. 2026-36. As Chief Actuary of the New York State and Local Retirement System (NYSLRS), I, Aaron Schottin Young, hereby certify that this analysis complies with applicable Actuarial Standards of Practice as well as the Code of Professional Conduct and Qualification Standards for Actuaries Issuing Statements of Actuarial Opinion of the American Academy of Actuaries, of which I am a member. I am a member of NYSLRS but do not believe it impairs my objectivity.